Thailand hopes IMF meetings will revitalize economic image

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Practice Letter

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Dear clients,

Prime Minister Anutin Charnvirakul’s government will welcome about 18,000 global financial leaders and other delegates this week to Bangkok for the IMF and World Bank Annual Meetings, providing Thailand with a rare opportunity to raise its profile on the global stage. Officials are eager to use the gathering to improve the country’s economic image after a turbulent period. In February, the Financial Times branded Thailand the “sick man of Asia.” But will delegates find a country that is finally emerging from an extended period of political instability and subpar growth or one that is still falling behind more dynamic regional peers?

Meanwhile, Thai authorities are hoping delegates arrive to find Bangkok dry after severe flooding in recent weeks. Water levels have largely receded, though there is a risk of further heavy rain.

Anutin in a strong position

Thailand is enjoying a rare period of relative stability, with politics unusually calm—dull, even—since February’s election, when Anutin’s (rebranded) conservative Bhumjaithai rode a nationalistic wave to a convincing first-place finish amid conflict with Cambodia.

On paper, the government is fragile. Bhumjaithai is nearly 60 seats short of a majority (251) in parliament and dependent on the populist Pheu Thai party. In recent years, the two parties have fluctuated between being awkward bedfellows and fierce opponents. Smaller parties round out a coalition that holds just over 290 seats in total.

In reality, Anutin’s government is stable, for the foreseeable future at least. It has a decent shot at completing a full four-year parliamentary term—almost unheard of in Thailand. Anutin will very likely brush off a no-confidence motion in parliament filed by the progressive and pro-monarchy-reform People’s Party. Pheu Thai seems likely to stick with Anutin. The alternative would be to form a

government with the People's Party, but that would likely be short-lived and carry personal risks for the Shinawatra family that controls Pheu Thai. To secure a majority, Pheu Thai and the People's Party would also need the (currently non-aligned) Kla Tham, led by convicted drug trafficker Thamanat Prompow. But if Pheu Thai was looking for the exit door, Anutin could probably bring Kla Tham into his coalition (not without risks, though).

Perhaps more importantly than parliamentary arithmetic, Anutin seemingly enjoys robust support within the royal-military establishment after delivering a rare convincing election win for a conservative party. The establishment-leaning Constitutional Court's recent dismissal of a case that sought to annul February's election results reinforces this perception.

That said, Anutin cannot assume this support will last forever. Over time, the establishment may eventually come to view the gaffe-prone prime minister as more of a liability than an asset. Online clips of Anutin controversially handing out his own cash to flood victims—which opponents said amounted to bribery—and broader concerns about his government's handling of the crisis have likely further eroded his public appeal. But for now, there seems to be no easy or obvious alternative prime minister.

Political stability facilitating investment uptick

Improving political stability and certainty, and the expected spillover effects on investment, were the main reasons Eurasia Group upgraded Thailand's short-term trajectory to positive from negative early this year.

Business confidence has indeed returned, with domestic and foreign investment growing strongly and the stock market outperforming regional peers, despite Thailand's heavy exposure to global energy headwinds. Exports have also performed well. Like its regional peers, Thailand has benefited from strong AI-related demand for technology inputs. But Thailand's imports are growing even more strongly amid buoyant investment, expanding the trade deficit.

Although Thailand's economy may have begun to improve, and the energy crisis has so far proved less severe than many feared, growth still trails that of most regional peers.

Thailand risks slipping behind regional peers on trade deals

Along with most of its regional peers, Thailand faces US Section 301 tariffs from a forced labor investigation, which are already in effect, and from an overcapacity investigation, which Washington is still reviewing. Bangkok will likely end up with a headline rate at or near the 19% level it had under the invalidated reciprocal regime.

Unlike Indonesia, Malaysia, and Cambodia, however, Thailand has not yet reached an Agreement on Reciprocal Trade (ART) with Washington. Market access—especially in the agricultural sector—and supply chain reliance on China and transshipment concerns have been the main sticking points. However, a deal seems close. Deputy Prime Minister and Commerce Minister Suphajee Suthumpun said the two countries had reached an "in principle" agreement, though it is unclear precisely what that means. If President Donald Trump's reported visit to the ASEAN Summit and related events in Manila in November is confirmed, a US-Thailand ART will probably be announced, providing some reassurance to exporters.

Despite efforts to diversify trade, Thailand is increasingly dependent on the US market, which will likely constrain how far Bangkok tilts toward Beijing (see ASEAN struggling to reduce export dependency on US , 5 October 2026).

Thailand and Malaysia are now trailing behind their regional peers on trade deals with Europe, after the Philippines recently reached the “substantial conclusion” of a free trade agreement (FTA) with the EU. Suphajee said EU FTA talks are in the final stage, though, and Bangkok hopes to finalize an agreement by year-end.

Notably, Thailand is the only major ASEAN country that is neither in the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP) nor an applicant. Vietnam, Malaysia, Singapore, and Brunei are already members, while accession talks with Indonesia and the Philippines will start soon. Thailand’s absence could weaken its appeal for supply chain investment, and there are currently no signs the government is reconsidering joining, possibly owing to concerns among Thai conglomerates and farmers.

Meanwhile, Anutin’s government has continued Thailand’s push to join the OECD. Bangkok hopes membership in the intergovernmental economic organization would help it attract more investment.

Slow progress on structural challenges

The global energy shock has increased fiscal strain for Thailand, pushing the country’s borrowing close to the 70%-of-GDP limit. However, the government has taken a somewhat balanced approach to contain fiscal risks and reassure markets. Bangkok is partially passing on global energy price rises to domestic consumers and keeping stimulus fairly modest and targeted. More broadly, Anutin and Deputy Prime Minister and Finance Minister Ekniti Nitithanprapas have, as expected, scaled back the fiscal populism of the previous Pheu Thai-led government.

Nevertheless, Thailand faces deep structural challenges, including rising labor costs and skill shortages that undermine the country’s competitiveness. Vietnam is outcompeting Thailand in low-to-medium-value-added sectors, while Malaysia is advancing in higher-end technology. That said, Thailand retains a strong automotive cluster and is expanding in niche areas such as food processing. In other sectors, unreformed state-owned companies and private oligopolies continue to dominate, hampering productivity growth. Thailand also faces severe demographic pressure. It is the Southeast Asian country most likely to grow old before it becomes rich.

So far, there are few signs that Anutin’s government has either the will or the ability to address these structural challenges in a meaningful way.

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